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GDP GROWTH PROJECTION

	FY26	FY27
JOSHI	7%	6.7%
MISHRA	7.5%	7.5%
CHAKRABORTY	7.5%	7.1%
GHOSH	7.6%	7%
GOYAL	7.5%	>7.5%

> INDIA IS IN A STRONGER-THAN-EXPECTED GROWTH PHASE... WE ESTIMATE THAT A 6.5-7% GROWTH TRAJECTORY IS SUSTAINABLE

DHARMAKIRTI JOSHI

sound policy management. With continued reforms, prudent fiscal policy and sustained public capital expenditure, the growth momentum appears increasingly durable.

NEELKANTH MISHRA

Sticky inflationary pressures emerge only when economic output is close to its potential. The economy currently has significant slack.... For example, output, as measured by GDP, is between 7 per cent and 11 per cent below its pre-pandemic path. India is the only large economy with a rapidly growing workforce, so being 1-1.5 years behind the pre-pandemic path does not create slack in, say, a Japan, China or Europe, where the workforce is shrinking. In India, this means 1-1.5 years of new workers are waiting for employment. Thus, the economy can grow 1-1.5 percentage points faster than its potential growth for a while before a rise in inflation warrants policy tightening.

Q Consumption saw substantial growth this festive season. Is this demand overdrive expected to continue with the GST and income tax reforms in place?

DHARMAKIRTI JOSHI

Private consumption received a boost from income tax cuts and GST rate rationalisation, which lowered effective tax rates. Also, low inflation supported discretionary spending. Some of these positive effects are expected to spill over into the next year as well. However, for consumption growth to be sustained, there must be improvements in permanent incomes and employment opportunities.

> AS INCOMES RISE AND EMPLOYMENT OPPORTUNITIES EXPAND, ESPECIALLY IN URBAN AND EMERGING SECTORS, DEMAND IS WELL PLACED TO REMAIN RESILIENT BEYOND SEASONAL PEAKS

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SAMIRAN CHAKRABORTY

During the festive season, we observed the 'price effect' of the GST cuts. Going forward, it is expected that the savings to monthly expenditure from the GST cuts would create an 'income effect' and sustain a higher level of consumption. However, the idea of a stimulus is to kickstart a virtuous economic cycle, which will generate more jobs and income growth.

ASHIMA GOYAL

The consumption response to the GST cuts has shown corporates that demand is there—at the correct price. Therefore, they will try to sustain volume growth through price and market strategies adding to government efforts. The RBI has also brought real rates closer to neutral, helping interest-sensitive demand. A positive cycle can set in.

SOUMYA KANTI GHOSH

GST and income tax reforms have improved formalisation, transparency and credit access, which reinforce sustained consumption over time. As incomes rise and employment opportunities expand, especially in urban and emerging sectors, demand is well placed to remain resilient beyond seasonal peaks, as is also indicated by strong UPI and credit card spending.

NEELKANTH MISHRA

GST cuts provided a substantial fiscal boost to consumption in a short period of time.... Credit risk appetite for borrowers as well as lenders has begun to improve, which is likely to drive above-trend growth of 7.5 per cent in the next fiscal year.